TALENTQ

TALENTQ / STRATEGY SERIES / DOCUMENT 02

Global Market Research & Commercial Strategy

A source-led investigation into the recruitment economy, global competition, defensibility, pricing, market entry, and venture-scale feasibility.

25 OCTOBER 2026 | EVIDENCE-LED V1 | GLOBAL SCOPE

INVESTMENT POSTURE

This document contains verified desk research, explicit assumptions, and financial scenarios. It is not a claim of market traction, validated willingness to pay, regulatory approval or guaranteed returns.

EXECUTIVE READING GUIDE

Decision summary

The central finding: AI sourcing and interview automation are no longer under-served categories. TalentQ must win on measurable hiring outcomes, verifiable mutual fit, trusted candidate experiences and distribution in a chosen customer segment, not on a claim that competitors lack agents. [S03,S04,S05]

> WHAT WE CAN SAY TODAY
>
> A real, growing recruitment technology market exists. Employers and candidates report persistent failures in matching, speed, trust, feedback and candidate conversion. Strong incumbents already sell AI workflow automation. TalentQ is an unvalidated entrant with a credible product thesis but no demonstrated proprietary data advantage.

Six decisions this report supports

- **Category:** evidence-led hiring orchestration, not another job board and not a general HR super-app.
- **Beachhead:** test specialist agencies and mid-market employers hiring repeat professional roles; compare buying cycles and retention.
- **Product wedge:** a qualified, interested, permissioned shortlist with full candidate-recruiter follow-through.
- **Monetization:** employer-funded subscription / mandate pricing, with metered high-cost assessment and video services.
- **Expansion:** preserve global architecture, deploy regionally in deliberate phases after compliance and data partnerships.
- **Investability:** raise against proof milestones, not broad market size or invented model accuracy.

Reliability statement

Sources are dated and cited as [Sxx]. Third-party market-research values are **publisher estimates**, not independently auditable census measurements. Company feature claims are **company statements**; they are not independent benchmark results. All financial outputs are **assumption-driven scenarios**. Interviews, paid-user conversion, retention and actual candidate outcome measurement remain open fieldwork.

What is outside the scope of this document

A live financial audit of competitors, authenticated testing of paid ATS accounts, legal opinions for every jurisdiction, primary employer interviews, signed data licensing terms, and a validated TalentQ algorithm. The next investor deck must not imply these exist.

REPORT NAVIGATION

Contents

01 Research protocol and nested workplan
02 Market demand and category boundaries
03 Geographic opportunity assessment
04 Buyer segmentation and willingness to pay
05 Competitors and unclosed problem spaces
06 TalentQ differentiation and defensibility
07 Market sizing: top-down and bottom-up
08 Business model and pricing design
09 Delivery costs and unit economics
10 Five-year scenarios and capital needs
11 Go-to-market and experiment program
12 Regulatory and operating risks
13 Investor diligence and milestone gates
14 Source register and unresolved evidence

> **HOW TO INTERPRET THE TAGS**
>
> [FACT] directly sourced; [VENDOR CLAIM] company-reported product/performance; [ESTIMATE] research publisher projection; [HYPOTHESIS] our product or market interpretation; [SCENARIO] modeled assumption, not observed TalentQ performance.

Scope

Global English-capable product design; initial commercial investigation spans the United States, United Kingdom/EU, Nigeria/West Africa, India and Brazil/Latin America, with Asia-Pacific as an expansion watchlist. The report deliberately separates where demand exists from where TalentQ can gain lawful data access and distribution.

CHAPTER 01

Research protocol & workplan

Research is structured as a repeatable diligence process. Each workstream has: questions, source path, analysis method, deliverable and completion status. This version completes desk-based review of major public sources. Primary fieldwork remains open.

Evidence grading and triangulation

Class	Acceptable evidence	How it is used
A | official	Government / regulator datasets and primary legal text	Macro, compliance facts; date-specific.
B | first-party	Vendor product pages, published prices, public releases	Capabilities and list prices; vendor bias disclosed.
C | research	Survey methodology and industry market reports	Directional demand and estimates; sample limitations noted.
D | qualitative	Public forums, app reviews, testimonials	Problem discovery only; not prevalence measures.
E | scenario	Internally modeled parameters and forecasts	Decision sensitivity only, never market facts.

Workstream inventory

01 | Category & TAM

Required substeps: Identify non-overlapping definitions of staffing, online recruitment technology, AI recruiting; pull dated $ forecasts; reject addition of overlapping categories.

Evidence path: Fortune BI, Grand View, staffing trade bodies, employer spend reports | **Status:** Desk review: completed; segmentation: modeled

02 | Labour-market demand

Required substeps: Trace vacancies, hiring flows, applicant volumes, skills deficits and country-level direction; distinguish stock from flow.

Evidence path: BLS JOLTS, UK ONS, ILOSTAT, WEF, national labour offices | **Status:** US/UK/world desk review: completed; further regions: open

03 | Competitor capabilities

Required substeps: Map sourcing, ATS, AI interviews, assessment, agent workflow, candidate portal and integration constraints.

Evidence path: Vendor docs, release notes, demos, API and integration guides | **Status:** Public product review: completed; authenticated tests: open

04 | Competitive price & packaging

Required substeps: Capture publicly displayed list prices, billing bases, overage terms, trial limits, contractual minimums; date-stamp all.

Evidence path: Workable, Recruiterflow, Indeed, Nigerian providers, Tavus, model APIs | **Status:** Public pricing: sampled; enterprise quotes: open

05 | Voice of employers

Required substeps: Interview agency owners, TA leads, hiring managers about current workflow, spend, success criteria and switching triggers.

Evidence path: 30+ structured buyer interviews, process shadowing, anonymized ATS metrics | **Status:** Open: primary field research required

06 | Voice of candidates

Required substeps: Investigate abandonment, salary transparency, trust, privacy, accessibility and willingness to share competency evidence.

Evidence path: Greenhouse, CV-Library, anonymized interviews and usability studies | **Status:** Published research reviewed; primary interviews open

07 | Buyer & channel mapping

Required substeps: Classify agency, founder, mid-market TA, enterprise; find sales owner, budget cycle, procurement, CAC and competition.

Evidence path: Customer interviews, agency associations, outbound channel tests | **Status:** Hypothesis only; acquisition test open

08 | Legal / licensing

Required substeps: Map GDPR/UK GDPR, EU AI Act, US state/local rules, Nigeria NDPA; validate rights for every candidate source.

Evidence path: ICO, EU Commission, NYC DCWP, NDPC, provider terms, counsel | **Status:** Desk review: scoped; jurisdiction opinions open

09 | Supply and assessments

Required substeps: Evaluate candidate opt-in, credential partners, specialist coding/cyber providers and source economics.

Evidence path: Platform contracts, partner APIs, candidate pilots | **Status:** Conceptual model; commercial deals open

10 | Unit economics

Required substeps: Model per-tenant search, LLM tokens, data, storage, outreach, interview duration, support, onboarding, refunds.

Evidence path: Vendor rate cards, trial invoices, instrumentation, sales records | **Status:** Modeled; production telemetry open

11 | Willingness to pay

Required substeps: Test three price menus and blind comparison with incumbent workflows; capture purchase signals, not compliments.

Evidence path: Paid pilots, landing page tests, quote acceptance, invoicing | **Status:** Open; no observed TalentQ revenue

12 | Distribution and scaling

Required substeps: Assess ATS partnerships, agencies, communities, referral incentives, compliance and regional GTM sequencing.

Evidence path: Partner interviews, CRM funnel data, country pilot metrics | **Status:** Draft hypotheses; validation open

CHAPTER 02

Market demand & category boundaries

Macro indicators: what the data actually say

Measure	Published value	Correct interpretation
Online recruitment technology	**$17.48bn** global 2026; $46.07bn publisher forecast for 2034. [S01]	Commercial technology category, NOT all recruitment activity.
AI recruitment technology	**$5.1bn** global 2026; $9.6bn forecast for 2035. [S02]	Overlapping sub-market, NOT an increment to the line above.
US job openings	**7.079m** in Aug 2026; hires **5.192m** that month. [S09]	Openings stock versus monthly hires flow; not TAM customers.
UK vacancies	**691,000** July-Sep 2026 rolling period. [S10]	Signals a cooling market; not monthly spending.
US HR hiring difficulties	**68%** of SHRM 2026 sampled HR professionals report difficulty recruiting full-time workers. [S07]	US survey, not a globally representative share.
Skills transformation	**63%** of WEF surveyed employers cite skills gaps as major barrier to transformation. [S08]	Survey across 55 economies; not a conversion prediction.

Do not inflate market size

Recruiting agency fees, staffing placement revenues, job advertising, applicant-tracking software, video interviews, AI sourcing and assessment subscriptions all sit at different layers of the value chain. A top-down market estimate is only useful when the product can plausibly capture that spend. Many industry estimates count overlapping buyers and spend categories. TalentQ cannot add them, and cannot assume all staffing revenue is software-addressable.

Demand exists even when vacancies fall

The US and UK indicators show substantial ongoing hiring, but the UK vacancy count is falling compared with earlier periods. This suggests that TalentQ should not assume a constantly accelerating hiring market. Lower hiring volumes can reduce recruiting budgets while increasing pressure on employers to avoid poor hires. It may reward efficiency software, or delay new procurement. Both outcomes need scenario testing. [S09,S10]

> MARKET THESIS

> The defensible demand claim is persistent, costly coordination and decision-making in hiring, amplified by AI-generated application volume and shifting competency needs. Demand for an additional vendor, and TalentQ pricing power, are still unproven.

Candidate demand and frustration

Greenhouse reports that 81% of surveyed US job seekers were rejected from a job without speaking to anyone at the company, and 45% of interviewees identified employer ghosting as a complaint. Its broader survey covered over 2,800 job seekers in the US, UK, Ireland, Germany and Australia. These statistics describe candidate experience, not proven willingness to pay for TalentQ. [S06]

SHRM reports persistent recruiting difficulties and more organizations training existing staff for hard-to-fill roles. This creates a legitimate product connection between competency evidence, job matching and targeted professional improvement. It does not justify adding an unrelated course marketplace at launch. [S07]

CHAPTER 03

Geographic opportunity assessment

We evaluate regions along seven dimensions: buyer budget, urgency, density of frequent hiring, accessible candidate supply, local competition, data/regulatory cost and distribution access. Geography selection is a go-to-market choice, not a limit on long-term product architecture.

Region	Observable indicators	Commercial implication
US	7.1m job openings Aug 2026; AI sourcing now widely offered. [S09,S03,S05]	Large spend and enterprise budgets, but high competition, procurement and hiring-AI compliance risk.
UK / EU	UK vacancies 691k Jul-Sep 2026; regulator scrutiny of automated decisions; EU hiring AI high-risk timetable. [S10,S23,S24]	Good agency ecosystem; localization, DPIA, transparency and auditability required.
Nigeria / West Africa	Jobberman 3m+ profile reach and paid listings; MyJobMag low-cost matching; labour-market informality across parts of West Africa. [S11,S13,S37]	Potential distribution advantage for locally tailored workflows, but price sensitivity and candidate data coverage issues.
India	foundit reports selective 2026 hiring, technology and specialist demand; market data from a recruitment platform. [S33]	Massive potential supply, but strongly competitive and likely price-sensitive; local partner discovery needed.
Brazil / LATAM	Gupy already offers WhatsApp recruitment agents and wider HR stack; per-vacancy AI services advertised. [S17,S18]	Demand validation, but powerful local incumbents and language / employment-law requirements.

Region	Observable indicators	Commercial implication
APAC and GCC	Signals need to be country-scoped; do not infer demand from global aggregate.	Future watchlist; require country interviews, labor stats, source rights and procurement validation.

Entry-market options, not a false global ranking

- **Nigerian specialist agencies:** founder network access could aid pilots, but margins and spending power need testing against low-price incumbents.
- **UK recruitment boutiques:** strong agency process fit, software budgets and possible bilingual reach; GDPR/ICO obligations and sales cycle require diligence.
- **US niche recruitment operators:** highest potential contract value, crowded stack and tougher verification / security requirements.
- **Employer-led growth:** mid-market HR teams may pay more but need ATS integrations and longer procurement.

Global-by-design, focused-by-deployment

Build regional configuration for currencies, consent policies, candidate outreach, local data retention, languages, tax and payment systems. Do not run unrestricted worldwide scraping or assume data source rights transfer internationally. Country expansion should be gated on legal review, employer density, profitable acquisition and enough opted-in candidate evidence.

CHAPTER 04

Buyer segmentation & purchasing behaviour

Who has the problem and who signs the contract?

Segment	Buyer / budget owner	Value driver / objection
Agency (2-30 recruiters)	Founder, managing director or head of operations	More concurrent mandates, faster delivery; fear candidate leakage and tool overlap.
SME direct employer	Founder or HR generalist	Avoid full-time recruiter cost; often intermittent hiring and low retention.
Mid-market TA team	Head of talent acquisition / HR director	Existing ATS efficiency, quality and compliance; strong integration requirements.
Enterprise	Procurement, HR, IT, legal and security	Governance and proof; long sales cycles and high cost to serve.
Candidate	Not initial core payer	Less repetitive work, quality opportunities, confidence and fair feedback.

Interview guide: 15 diagnostic questions

01. How many roles and placements did you handle in the last 90 days?

02. What do you pay for listings, ATS, sourcing, assessments and recruiters?

03. How many recruiter-hours from mandate to interview-worthy shortlist?

04. What was your last failed hire or abandoned search? Why?

05. How often are top-ranked prospects uncontactable or uninterested?

06. What source can legally be exported or connected to a new tool?

07. How are compensation, work arrangements and candidate interest checked?

08. What is the cost of an unfilled role for you?

09. Which two workflow steps would you pay to eliminate this quarter?

10. What concerns would stop you authorizing Q to contact a candidate?

11. Which human decisions must remain manual?

12. What evidence would convince you Q improves decisions?

13. Who approves purchase, and how long does approval take?

14. Would you pay $129 per role, $349 per team/month, or $799 per agency/month?

15. Will you pay for a limited pilot now, and provide anonymized baseline measurements?

Research threshold

Target at least 30 buyer interviews spanning three regions and 20 candidate interviews; conduct 8-12 observed competitor journey tests where legal access allows; require at least 5 paid pilots. These are proposed research thresholds, not completed research. Include unsuccessful leads and negative feedback, not only enthusiastic users.

CHAPTER 05

Competitors & remaining problem spaces

Capability claims below reflect the companies' public descriptions as of the research date. "Gap" means a buyer-level outcome that may remain imperfect, not that no competitor has ever addressed it.

Category	Representative operators	Implication for TalentQ
Social network / sourcing	LinkedIn Recruiter + Hiring Assistant 2; Indeed Talent Scout	Massive discovery and distribution advantages; agentic sourcing already commoditizing. [S03,S35]
ATS and orchestration	Greenhouse, Workable, Ashby, Lever, SmartRecruiters	End-to-end workflow and candidate portals rapidly expanding. [S04,S14]
Agency CRM and agents	Recruiterflow AIRA, Bullhorn, hireEZ, Juicebox, Gem, SeekOut	Agent features are purchasable today; agency switching costs matter. [S15,S31]

Category	Representative operators	Implication for TalentQ
Nigeria discovery/services	Jobberman, MyJobMag	Low cost, large reach and assisted shortlist products established. [S11,S12,S13]
Brazil and regional	Gupy and Candidato Ja	WhatsApp screening and per-mandate AI service already real. [S17,S18]
Specialist proof	HackerRank, CodeSignal, CoderPad, Hack The Box	Buy/partner with skill assessment leaders before replicating labs.

Published price anchors (not normalized equivalents)

Vendor / plan	Listed commercial anchor	Comparison caveat
Workable Standard	$299/month for 1-20 employee band. [S14]	Recruiting/HR bundle; different scope.
Recruiterflow Platform	$149 per recruiter / month. [S15]	Agency ATS/CRM; AIRA customized.
Jobberman Standard	NGN 100,000 per job. [S11]	Job posting and ATS reach; no same-service guarantee.
MyJobMag	NGN 7,500 / post; NGN 75,000/month unlimited plan. [S13]	Different Nigerian model, includes CV AI match.
Candidato Ja, Brazil	From BRL 149.90 per vacancy, no subscription. [S18]	Regional WhatsApp-led service.
Indeed sponsored	Dynamic budget / clicks or started applications. [S16,S38]	Do not assume one fixed universal minimum.

Where incumbents can still disappoint

Unmet outcome	Why it persists	Testable TalentQ response
Weak role definition	A vague mandate yields irrelevant search even from a large database.	Q requirement interviews and realism review; compare accepted shortlists.
Unverified, stale profiles	Profile relevance does not guarantee freshness, interest or permitted outreach.	Source-linked evidence, contact validity and consent checks.
Candidate response black hole	Status dashboards do not make employers respond.	Participating employer response commitments, escalations and candid status.
Lack of practical evidence	CV similarity and generic interviews miss real-world competency.	Job-task-grounded exercises through a common assessment orchestration layer.
Workflow fragmentation	Recruiters jump across sourcing, email, ATS, scheduling and specialist tools.	Q manages state across permitted integrations without forcing a full ATS replacement.
Candidate repetition	Multiple forms and assessments impose avoidable burden.	Reusable candidate-controlled evidence, subject to recruiter acceptance.

The strongest positioning candidate is **trusted, mutual, evidence-led shortlist-to-hire orchestration**. This is a hypothesis, not a proven white space. Greenhouse and other incumbents are increasingly targeting exactly this connected-workflow territory. [S04]

CHAPTER 06

Differentiation & moat construction

The standalone "why us"

TalentQ is a recruiting outcome company, not an existing assistant with a new wrapper. Its proposed differentiation is the integrated method by which it converts a hiring need into an evidence-backed, candidate-compatible, auditable recruitment process. Q is its conversational and agent interface; the defensible asset, if earned, is the network, consented evidence, feedback quality, assessment calibration and employer execution reliability.

What is not a moat

- Voice chat, video avatars, generic LLM candidate summaries, basic vector search, an ATS pipeline, a mathematical score, scraped LinkedIn profiles, or a large set of flashy agents. Competitors already offer many of these and can replicate the rest.

Moat ladder: what accumulates with usage

Stage	Asset that could compound	Proof needed
1 | Workflow	Repeat mandate history and reliable execution	Recruiter retention / repeat mandates
2 | Evidence	Candidate-controlled and verified skill signals	Consent retention, verification and profile reuse
3 | Calibration	Outcomes linked to job-specific assessment evidence	Prospective validity and bias audit
4 | Two-sided network	Employer demand attracts candidates; candidate proof attracts employers	Organic acquisition, liquidity and marketplace repeat use
5 | Distribution	Agency partnerships / enterprise integrations	Channel conversion and switching costs

Why now, with an important counterargument

The timing is favorable because AI-generated applications increase screening noise, skill requirements change quickly and lower-cost voice/agent APIs enable new workflows. However, those same technologies strengthen incumbents. Timing supports experimentation, not guaranteed disruption. [S03,S04,S08,S19]

A credible initial claim

> **CLAIM TO TEST**
>
> In a named job family, TalentQ can deliver a higher fraction of recruiter-approved, interested candidates per hour of recruiter time than the customer's current sourcing and screening process. Measure against a baseline before using this claim in marketing.

CHAPTER 07

Market sizing without false precision

Top-down reference numbers

Publisher estimates: online recruitment technology $17.48bn (2026); AI recruitment $5.1bn (2026). They are not additive and do not represent automatically accessible TalentQ revenue. Both are sold through many products, user bases and price models. These may change with publisher methodology. [S01,S02]

Bottom-up serviceable market equation

Annual potential = eligible organizations × reachable share × likely annual spend. For an initial non-enterprise subscription market, organization counts must eventually come from company registries, recruitment memberships and qualified buyer lists, not from global SME totals. All parameter values below are deliberately hypothetical.

Scenario	Reachable qualifying orgs (illustrative)	Annual spend / org	Gross annual opportunity
Constrained	20,000	$1,000	**$20m**
Planning	60,000	$3,000	**$180m**
Expansive	150,000	$6,000	**$900m**

Do not call $180m a verified SAM. It is an **assumption-driven planning scenario**. Region and segment organization counts, reachable proportions, purchase propensity and annual contract values must be validated. Also, these opportunity estimates are not additive to the category-level report figures.

Near-term obtainable market (SOM)

A starting commercial target might be 200 paying organizations at $2,400 annual recurring spend each, yielding $480,000 annualized recurring revenue if all are active at period end. This is an operating milestone, not a forecast of adoption. If users purchase only isolated mandates, recognize actual contract value, not annualized subscription revenue.

Bottom-up funnel: a falsifiable model

Qualified accounts = reachable organizations × contactability × response × meeting rate × paid conversion. Example: 8,000 reachable × 35% contactable × 12% reply × 35% meeting × 25% close ≈ 29 accounts. Every percentage is a scenario assumption and must be replaced with CRM data after early sales.

Implication for venture-scale ambition

A $17bn+ category supports a large incumbent ecosystem. It does not prove TalentQ can become a billion-dollar company. Venture-scale outcomes require sustained acquisition, repeat usage, expanding ACV, gross margin discipline and defensibility beyond a generic agent interface. A business reaching a few million dollars of ARR can still be worthwhile without being venture-scale.

CHAPTER 08

Business model & packaging

Pricing should match buyer frequency and the cost of executing each workflow. Limit free high-cost sourcing and avoid penalizing candidates for being discoverable.

Offer | proposed	Who / purchase pattern	Included / metered
TalentQ Pilot $129 per active mandate, 30 days	Occasional direct employer	Role calibration, permitted search, shortlist and limited messaging. Overage for external data / assessments.
Growth $349 per month	SME employer / small HR team	Up to 3 active mandates, team collaboration and orchestration; usage allowance, not unlimited sourcing.
Agency $799 per month	Specialist agency	5 seats, multiple mandates, client workspaces, ATS link; fair-use limits and usage metering.
Enterprise From $24k/year, custom	High-volume / multi-country TA	Governance, integrations, security review, SLA and negotiated data-processing terms.
Add-on usage Variable	All paid customers	Proctored skill assessment, video minutes, verification, premium data and high-volume outreach.

All TalentQ prices are TEST PRICES, not observed quotes or committed pricing. Existing vendors use different bundles, pricing and service guarantees. Local-currency tiers need actual exchange, payment and purchasing-power analysis.

Business model trade-offs

- **Per-mandate:** easy to try and align to hiring jobs; volatile recurring revenue and support load.
- **Seat subscription:** useful for agencies, but exposed to recruiter headcount reductions and seat-sharing.
- **Per successful hire:** aligns outcomes, but creates disputes over attribution, exclusivity, replacement and legal placement-fee regimes.
- **Hybrid usage:** best protects AI / sourcing gross margins, but adds pricing complexity.
- **Candidate premium:** optional job-preparation services only; never charge simply to be considered or to correct personal data.

The MVP monetization experiment

Run a randomized offer menu among comparable pilot leads: mandate fee versus team subscription versus subscription plus usage. Measure signed payment and repeat renewal rather than stated willingness to pay. Publish pricing only after cost caps and acceptable cancellation terms are established.

CHAPTER 09

Direct costs & unit economics

Published AI service anchors

As of the source checks, OpenAI publishes GPT-Live at $0.05 per minute for voice-front-end sessions, with backend model/tool usage billed separately. Tavus lists conversational video overages around $0.35/min at the Builder tier, with a 30-second minimum. Plans and terms may change. [S19,S20]

Thus a 15-minute GPT-Live front-end voice segment is $0.75 before backend costs; 20 overage Tavus minutes at $0.35 is $7.00 before any other charges. These are unit-cost illustrations, not all-in prices. Always inspect provider bills, minimums, concurrency and included credits.

Example team subscription contribution model

Line item	Monthly / account assumption
Monthly price / customer	$349
Source licensing and verification	$22
Inference, retrieval and search	$12
Messaging / delivery	$8
Audio interviews	$10
Cloud and storage	$8
Direct support and success	$22
Billing / disputes allowance	$11
TOTAL direct cost	$93
Gross contribution	$256
Illustrative gross margin	73.4%

The line items above are modeled, not measured. They assume bounded usage and omit taxes, salaries outside direct service delivery, core engineering, security audit programs, legal retainers and customer acquisition. Enterprise source licenses could make costs much higher. Never offer uncapped video interviews within fixed monthly pricing.

CAC, churn and payback model

Example: $1,100 acquisition cost ÷ $256 monthly gross contribution = **4.3-month gross-contribution payback** before fixed corporate expenses. At an assumed 5% monthly logo churn and unchanged margin, simple undiscounted gross-contribution LTV ≈ $256 / 0.05 = **$5,120**, or 4.7× CAC. But 5% monthly churn implies approximately **46% annual customer loss** if not offset by acquisitions. It is not a healthy retention claim.

Economic stress tests

Variable	Stress case	Implication
Data licensing	Adds $100 per paid customer-month	Gross margin declines 28.7 percentage points at $349 price.
Usage intensity	Audio/video minutes quadruple	Margin may collapse without minute caps / overages.
CAC	Doubles to $2,200	Illustrative payback rises to 8.6 months.
Churn	10% monthly instead of 5%	Simple gross LTV halves to $2,560.
Support	Manual intervention on every sourcing mandate	AI automation advantage may vanish.

CHAPTER 10

Financial scenarios, not forecasts

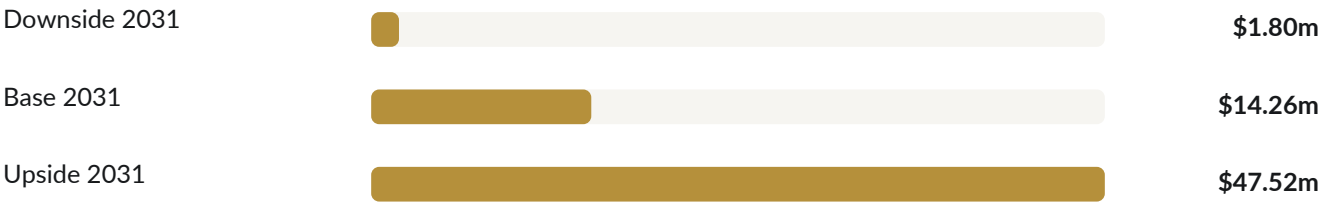
The model below is a five-year planning device for recurring subscriptions only. Years are calendar 2027–2031, currency USD. Average paying accounts are annual averages, not end-of-year logos. ARPA is monthly revenue per account. Revenue is 12 × average accounts × ARPA. Assessments, implementation, transaction commissions and one-off hiring fees are excluded, making the mechanism easier to audit.

Year	Avg accounts	Monthly ARPA	Revenue	GM target	After direct costs	After modeled OPEX
2027	40	$250	$0.12m	65%	$0.08m	$-0.62m
2028	150	$270	$0.49m	70%	$0.34m	$-0.81m
2029	500	$290	$1.74m	73%	$1.27m	$-0.53m
2030	1,500	$310	$5.58m	75%	$4.18m	$+0.98m
2031	3,600	$330	$14.26m	78%	$11.12m	$+4.32m

OPEX contains salaries, broad GTM, overhead, development and general expenses under the scenario. "After modeled OPEX" is a simplified operating contribution, not audited EBITDA, earnings or free cash flow. No taxes, debt, depreciation, financing fees or working capital schedule are included.

Revenue sensitivity: same business, very different outcomes

Subscription revenue in 2031 (annual model)



2031 scenario	Avg accounts	Monthly ARPA	Annual subscription revenue
Downside	750	$200	$1.80m
Base	3,600	$330	$14.26m
Upside	9,000	$440	$47.52m

The variation mainly reflects customer acquisition, retention, upmarket expansion and pricing power, none of which have yet been demonstrated. The upside is not a management forecast. It is a stress case for market capacity and infrastructure planning.

Funding and cash discipline

The 2027–2028 base-case modeled operating deficits sum to about **$1.43m**, before working capital and exceptional costs. A conceptual $1.8m raise could support a roughly 18–24 month milestone program **only if** actual spending, existing runway, hiring rate and revenue track tightly with the modeled plan. Real fundraising should be sized from a monthly cash model, not this annual illustration.

CHAPTER 11

Use of funds & go-to-market

Illustrative seed capital deployment

Use	Share	$1.8m hypothetical
Product / engineering / quality	45%	$810,000
Customer acquisition and pilots	22%	$396,000
Data rights, privacy, legal, audit	15%	$270,000
Infrastructure and specialist evaluation	10%	$180,000
Reserve and contingencies	8%	$144,000

An illustrative expenditure allocation, not an investment offer. An actual amount, terms, runway and valuation should follow a hiring plan and observed pilot economics.

Distribution channels and experiments

Channel	Test design	Success / kill signal
Agency design partners	10 outreach conversations, 5 instrumented mandates, anonymized baseline	Paid repeat usage and visible recruiter-hours saved.
Niche professional communities	Candidate portfolio import + role-based invitation	Qualified opt-in and job-specific response rates.
ATS integrations	One importer + one bi-directional approved connector	Low onboarding friction; consent / audit success.
Founder / SME education	Live demonstration using employer's actual anonymized mandate	Paid conversion without complex sales engineering.
Recruitment associations	Co-host independent workshops / outcome studies	Pipeline generated and paid cost per qualified lead.

90-day / 180-day / 12-month gates

- **0–90 days:** 30+ buyer interviews, 20 candidates, current-process metrics, 5 pilot contracts, explicit data-source audit.
- **90–180 days:** real mandate-to-shortlist product, 20+ paid mandates, blinded shortlist comparison, documented candidate experience and refusal handling.
- **6–12 months:** repeat revenue, measured candidate and employer success, stable unit economics, legitimate partner access and a named role-family expansion decision.

Metrics that matter

North star: employer-accepted and candidate-interested shortlisted people per recruiter-hour. Supporting: qualified shortlist precision, evidence coverage, time to first useful result, interview attendance, employer follow-through, offer acceptance, candidate trust, repeat paid mandates, average direct cost per role, gross margin, monthly net revenue retention and deletion/correction SLA. Track cohorts and roles to avoid misleading pooled averages.

CHAPTER 12

Risks, regulation & data access

Legal/compliance scope

Jurisdiction	Current authority / rule	Product implication
UK	ICO audited AI recruiting tools and identified significant transparency, fairness and minimization issues. [S22,S23]	DPIA, lawful basis, data rights, human oversight and vendor accountability.
EU	Official 2026 AI Act timeline lists employment high-risk system provisions from 2 Dec 2027. [S24]	High-risk obligations require early engineering / legal preparation, not last-minute compliance.
New York City	Local Law 144 requires applicable AEDT bias audits and public notices. [S25]	Scope test, audit plan and pre-use notices when the tool qualifies.
Nigeria	NDPA s.37 concerns solely automated significant decisions, human intervention and contest rights. [S26]	Human decision process, transparent appeals and lawful candidate-data treatment.
LinkedIn	Disallows unauthorized third-party automation and scraping. [S21]	No platform dependence on unauthorized profile extraction.

Material operational risks

Risk	Likelihood	Impact	Mitigation
Data access revoked	High	High	Use licensed partners, candidate first-party flows and employer ATS imports.
Incumbent bundling	High	High	Role-specific differentiation; quantify outcome delta; avoid generic AI agent positioning.
Inaccurate assessments	Medium	High	Structured job task tests, audit, human review, independent validity study.
Discrimination and privacy harm	Medium	Critical	Purpose limitation, protected attribute safeguards, DPIA, human review, redress.
Uncontrolled LLM / video costs	High	Medium	Usage-based tiers, credit caps, async fallback and per-tenant budgets.
Marketplace cold start	High	High	Start B2B with imported / licensed supply; recruit candidate opt-ins as workflows run.
Employer ghosting persists	High	Medium	Contractual response workflows and escalation, not fabricated candidate status.
Too broad geographic launch	Medium	High	Country-level gates for payments, language, labour law and sourcing rights.
Weak retention	High	High	Target repeat-hiring operators; enforce cohort-level retention / CAC gates.

Risk ratings are qualitative management judgments, not calculated probabilities. Legal issues require local counsel; no statement above constitutes a legal opinion.

CHAPTER 13

Investor diligence & capital return logic

How an investor gets their money back

Venture equity normally returns capital through a secondary sale, acquisition, IPO or cash distributions if legally and financially appropriate. There is no scheduled repayment unless a financing agreement expressly creates one. Revenue growth is not cash available to investors.

Illustrative year-five value sensitivity

If base-case year-five subscription revenue is $14.26m, a hypothetical revenue-based valuation sensitivity of 3×–6× gives an enterprise-value illustration of $42.8m–$85.5m. These multiples are purely scenario inputs, not market-validated 2026 transaction comparables. Year-five revenue is used as a simplifying proxy; actual exit pricing depends on growth, quality, recurring mix, profitability, retention, debt, cash and market conditions.

If a hypothetical shareholder owns 8% fully diluted at exit, the simple gross equity-value illustration is ~$3.42m–$6.84m **before** preferred security terms, further dilution, liquidation preference, transaction costs and tax. It is not an IRR, guaranteed outcome or investable promise.

What would justify the story

- A signed, audited product and data-rights foundation.
- Real paid pilot cohorts with baseline-controlled recruiter-time and shortlist comparisons.
- Clear month-by-month conversion, retention, unit costs and burn.
- Role-by-role assessment validity evidence and human decision governance.
- A replicable distribution channel with measured CAC and cash payback.
- A standalone reason employers choose TalentQ over their existing stack.

Investor readiness scorecard

Dimension	Current evidence	Status
Market existence	Multiple analyst markets and live incumbent categories	Established directionally
Competitor intensity	Major AI agents and end-to-end platforms live	High risk
TalentQ differentiation	Clear measurable hypothesis	Not validated
Access to candidate supply	No signed comprehensive rights demonstrated	Open
Willingness to pay	Price hypotheses only	Open
Algorithm outcomes	Technical method proposed, no prospective data	Open
Revenue, margins, retention	Illustrative financial scenarios only	Open
Regulatory readiness	Desk-scoped obligations	Legal and audit work open

CHAPTER 14

Fieldwork still required before an investor deck

This desk research is a substantial foundation, but investors will probe a different question: "Which customer paid, why, and what changed?" The following are explicit data collection instructions for the next diligence cycle.

Primary interview and testing work orders

- **Buyer panel:** 10 Nigeria, 10 UK/EU, 10 US interviews across agency and employer segments. Record role volumes, software invoices, time spent, source access, rejection drivers and willingness to buy.
- **Candidate panel:** 20-30 candidates balanced by experience and job-search status. Test CV upload trust, voice preferences, data deletion and consent, interview accommodations and actual application completion.
- **Competitor hands-on:** Where permitted, map complete current journeys in LinkedIn Recruiter, Indeed, Jobberman, MyJobMag, Greenhouse, Workable, Recruiterflow, Gupy and relevant technical assessment providers.
- **Supplier deals:** solicit written source-data/API pricing, verification fees, email/SMS costs, employment assessment licensing, voice/video discounts and data processing addenda.
- **Algorithm benchmark:** anonymized consented mandates, independent recruiter quality labels, blind comparison, subgroup fairness and missing-evidence error analysis.

- **Pilot economics:** per-tenant token/audio/video billing, human exceptions, refunds, time to supported resolution and realized customer acquisition spend.

Evidence-based stop signs

Pause or change direction if: hiring managers will not pay after blind comparisons; legal candidate supply is uneconomic; the agent makes repeated expensive mistakes; human oversight negates time saved; qualified candidates reject the screening experience; or CAC payback stays beyond realistic customer lifespan. A pitch deck must not suppress these possibilities.

> **FINAL INVESTMENT THESIS**
>
> TalentQ has a viable hypothesis in a sizable global category, but the category already has powerful AI-driven incumbents. The company earns the right to be a venture-scale business only by demonstrating trusted candidate evidence, reliable workflow economics, legal supply, superior recruitment outcomes and repeat paying customers.

APPENDIX

Source register

The source IDs in this report point to these public pages, reviewed in the research process for this 25 October 2026 version. Open a source via the clickable link. Pricing pages and product releases can change; re-check before using data in a dated investor deck.

[S01] Fortune Business Insights, Online Recruitment Technology Market, Sep 28 2026. Open source

[S02] Grand View Research, AI Recruitment Market, Aug 2026. Open source

[S03] LinkedIn, Hiring Assistant 2 product news, Sep 29 2026. Open source

[S04] Greenhouse, Orchestrated Hiring Ecosystem, Oct 15 2026. Open source

[S05] Indeed, Sourcing Assistant release, Jun 15 2026. Open source

[S06] Greenhouse, Future of Hiring Candidate Report summary, Oct 20 2026. Open source

[S07] SHRM, 2026 Talent Trends, Apr 2026. Open source

[S08] World Economic Forum, Future of Jobs 2025. Open source

[S09] BLS, JOLTS August 2026, published Sep 29 2026. Open source

[S10] UK ONS, Vacancies and Jobs, Oct 20 2026. Open source

[S11] Jobberman, employer products and public pricing, Oct 2026 access. Open source

[S12] Jobberman, Pro Recruit candidate shortlist promise. Open source

[S13] MyJobMag, employer products and public pricing. Open source

[S14] Workable, recruiting/HR pricing. Open source

[S15] Recruiterflow, agency ATS/CRM and AI agent pricing. Open source

[S16] Indeed, job posting cost mechanics, Aug 19 2026. Open source

[S17] Gupy, Brazil HR AI platform and WhatsApp hiring. Open source

[S18] Candidato Ja, Brazilian AI recruitment offers, Oct 7 2026. Open source

[S19] OpenAI, API and GPT-Live session pricing. Open source

[S20] Tavus, conversational video subscription and overage pricing. Open source

[S21] LinkedIn, automated activity and software restrictions. Open source

[S22] UK ICO, AI recruitment tool audit findings, Nov 2024. Open source

[S23] UK ICO, Recruitment Rewired enforcement expectations, 2026. Open source

[S24] EU Commission, AI Act updated timeline, 2026. Open source

[S25] NYC DCWP, Local Law 144 Automated Employment Decision Tools. Open source

[S26] Nigeria Data Protection Commission, NDPA Section 37. Open source

[S27] ILO, Employment and Social Trends 2026, Jan 2026. Open source

[S28] ILO, Global Employment Trends for Youth 2026, Aug 2026. Open source

[S29] ILO / World Bank, Youth ALMP impact systematic review, Apr 2026. Open source

[S30] REC, Recruitment Industry Status Report 2024/25, Dec 2025. Open source

[S31] Bullhorn, 2026 UK and Ireland agency technology survey. Open source

[S32] LHH, candidate ghosting study, Jul 2026. Open source

[S33] foundit India, 2025 hiring review and 2026 outlook. Open source

[S34] CV-Library, 2026 Candidate Behaviour Barometer. Open source

[S35] Indeed, AI employer product feature overview, Oct 2 2026. Open source

[S36] SHRM, recruiter executive priorities 2026. Open source

[S37] ILO, WAEMU youth country briefs, May 2026. Open source

[S38] Indeed, pricing myths vs facts, current guidance. Open source